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HOMEFIRST FINANCE · FOR DISCUSSION

Growing the book without growing effort in step

Where AI could change HomeFirst's operating model, and which opportunities to explore together

STRICTLY CONFIDENTIAL

HomeFirst could take disbursals to 2.4x their FY26 level by FY30 with more capacity per employee, faster execution, steady credit and clearer visibility

Capacity per employee

Today

Disbursals of about ₹3.4 Cr a year per employee (Q2 FY27, annualised); broadly flat for three years

Direction

Growth absorbed without hiring in step

Speed of execution

Today

87% of loans approved within 48 hours, against 91% in FY23

Direction

Fewer incomplete, stalled or reworked files from login to disbursal

Credit outcomes

Today

Gross Stage 3 1.7%; collection efficiency about 98%

Direction

Held as tickets rise and new markets open

Management visibility

Today

ROE tree published quarterly; live turnaround, cohort and channel dashboards

Direction

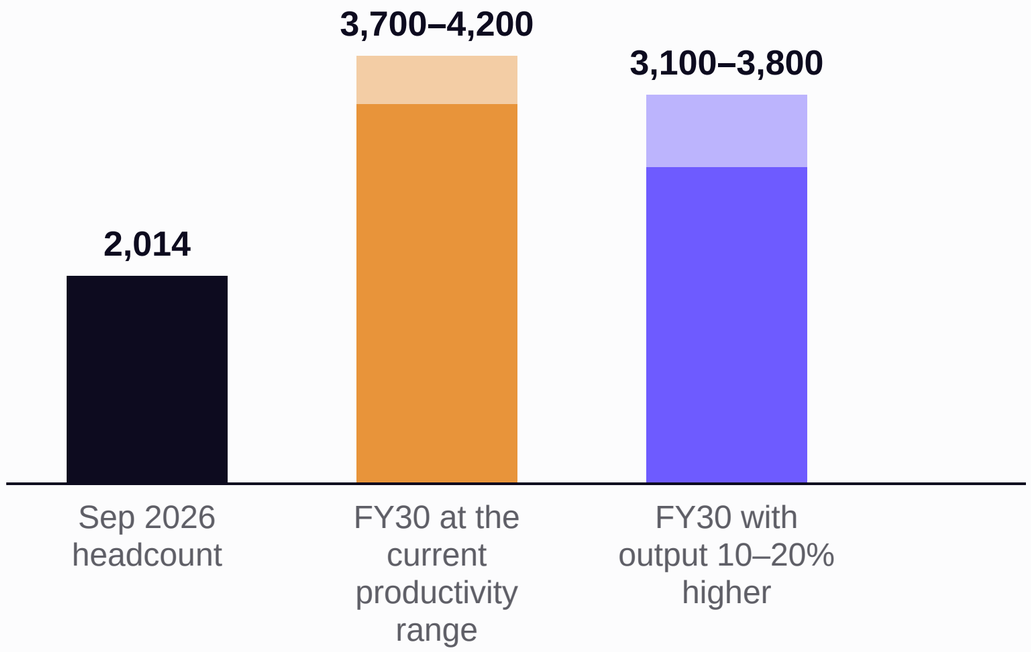
Each lever traced to cost, growth, credit and return within days of month end

The thread through this document: four candidate operating changes, each tied to these outcomes and connected to return on equity through a value tree.

Source: HomeFirst Q2 FY27 investor presentation (slides 14–16, 31–32); Q2 FY27 earnings call; outside-in assessment, slide 4.

Disbursals reach 2.4x FY26 by FY30; at constant productivity that implies about 4,000 staff against 2,014 today, and returns depend on operating cost, fee income, funding structure and credit quality

Staffing sensitivity for 2.4x FY26 disbursals by FY30



Shaded: range from ₹3.1–3.5 Cr disbursals per employee a year.

Operating cost, fee income, funding structure and credit quality

Line	Size	Context
Funding drag as the book grows	−23 to −35 bps of ROA by FY30	Equity funds a smaller share of assets
Draft insurance distribution rule	Up to −35 bps of ROA, before offsets	Fee income at risk; timing undisclosed
Operating cost	Management targets −10 bps of assets a year	Employee cost is ₹284 Cr a year, 67% of opex
Credit cost	Each 10 bps of assets is ₹12.5 Cr of PAT	Gross Stage 3 steady at 1.7%

Even with a broadly stable headline spread, operating cost, fee income, funding structure and credit quality remain important return drivers.

Source: outside-in assessment (slides 4, 10; appendix A2); HomeFirst Q2 FY27 investor presentation and reviewed results (employee cost ₹71.06 Cr in Q2, annualised); Q2 FY27 earnings call.

HomeFirst builds its own AI and runs it at scale in underwriting and customer contact; public data says least about the operations around them

Stage	Disclosed by HomeFirst	Not disclosed: to discuss	Potential extension to investigate
Sourcing	**In production:** connector app, 94% of connectors registered; 77% of leads via connectors	RM time per file; file completeness at login	RM and connector case assistance
Underwriting	**In production:** ClariFi, BankLens, DocIQ; ~87 seconds per case; 87% approved in 48 hours. **Announced:** ARJUN virtual underwriter, Phase 3	Stage turnaround and rework	Substantial disclosed capability; incremental scope requires validation
Disbursal and documentation	**In production:** consent-led onboarding, e-sign, e-stamp	Manual touches, exceptions, post-disbursal document tracking	Exception-led document and disbursal operations
Servicing	**In production:** Cue on voice, WhatsApp and SMS, 95% of calls; customer app	Request volumes and handling time	Request resolution behind Cue
Collections	**In production:** automated soft-collection calls through Cue	Roll rates, field productivity, cost to collect	Prioritisation and field orchestration
Finance and MIS	**In production:** real-time dashboards; ROE tree published quarterly	Close effort; plan against actual by lever	Reconciled financial attribution and plan against actual at lever level

Roadmap: Phase 1 foundation to Mar 2027; Phase 2 extends the chain, Apr–Sep 2027; Phase 3 agentic decisions, Oct 2027–Mar 2028. Each opportunity that follows is checked against it.

Source: HomeFirst Q2 FY27 investor presentation (slides 13–16; production records to 16 Oct 2026). Not disclosed does not mean not done; HomeFirst may already cover these internally.

ILLUSTRATIVE

Back-office operations: routine cases could flow through with less handling, so staff concentrate on exceptions, controls and complex cases

Example: disbursal and post-disbursal documentation

Illustrative workflow to validate	Documents received	Checked by hand	Missing items chased by phone	Re-keyed and reconciled	Pending items tracked in sheets
Possible future	Read and matched to the loan record	Only exceptions queued	Missing items chased through Cue	Staff resolve and sign off	Ageing alerts on pending items

Whose work changes
Operations and documentation staff

What the system could do
Reads, checks, matches, routes; queues exceptions

What people still decide
Exceptions, waivers, control sign-off, credit matters

How success is measured
Touches per file, handling time, rework, exception ageing, cost per file

Existing disclosed capability
DocIQ document interpretation (400,000 documents); consent-led onboarding, e-sign, e-stamp

Potential extension to investigate
Integration with specific operational checks, exception queues and resolution workflows

Benefits measured separately and counted once: capacity released (staff hours freed) · hiring avoided (growth absorbed) · cash saved (spend removed) · service improved (faster, more reliable processing)

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Source: HomeFirst Q2 FY27 investor presentation (DocIQ, Cue, onboarding, slides 15–16). Workflow is illustrative; headcount and effort by function are not disclosed.

Frontline and sourcing: RMs and connectors could move complete files through faster, with less chasing and fewer stalled cases

Lead

Today

77% from about 4,400 connectors; 94% on the connector app

What AI could add

Lead quality score; pending leads ranked for RM follow-up

Login

Today

Login to sanction about 40%

What AI could add

Completeness check before login; missing items listed for the connector

Sanction

Today

87% approved within 48 hours

What AI could add

Stalled-case alerts; queries routed to the right person

Disbursal

Today

₹1,705 Cr disbursed in Q2 FY27; new-loan ticket about ₹15–16 lakh. Loan and tranche counts need internal data

What AI could add

Pre-disbursal checklist assembled; customer updates through Cue

Whose work changes

RMs, connectors and branch operations

What the system could do

Checks, ranks and reminds; drafts what is missing

What people still decide

Credit stays with underwriters; RMs own the customer

How success is measured

First-time-complete files, stage turnaround, disbursals per RM, conversion and later quality

Existing disclosed capability

Connector app (94% of connectors registered); ClariFi, BankLens and DocIQ in underwriting

Potential extension to investigate

Assistance with file preparation, pending work and handoffs between teams

Underwriters retain credit decisions; the initiative builds around existing underwriting tools.

Source: HomeFirst Q2 FY27 investor presentation (slides 13–14); Q1 and Q2 FY27 earnings calls.

Collections: early signals could inform who is contacted, when, how and by whom, with outcomes measured and fed back

15.6%
Bounce rate in Q2 FY27; 16.6% in October

~98%
Monthly collection efficiency

1.7%
Gross Stage 3, Sep 2026

₹62 Cr
Credit cost a year (Q2 annualised); each 10% lower is about ₹6 Cr pre-tax

Signals
Bounce, payment pattern, Cue conversations, bureau changes

›

Prioritise
Accounts ranked by risk of rolling and value at stake

›

Contact
Channel and timing chosen per customer through Cue

›

Field
Visits allocated by priority and route

›

Resolve
Promise, payment or restructure logged

›

Learn
Outcomes inform monitoring and controlled model updates, subject to validation and release gates

Whose work changes
Collection callers, field officers, branch managers

What the system could do
Ranks, schedules and allocates; reports outcomes

What people still decide
Restructures, legal action, any customer hardship case

How success is measured
Cure and roll rates, contact success, field productivity, cost to collect, complaints, later losses

Existing disclosed capability
Cue customer communication on voice, WhatsApp and SMS; automated soft-collection calls

Potential extension to investigate
Account prioritisation, field execution and outcome measurement, where not already covered

Source: HomeFirst Q2 FY27 investor presentation (slides 15, 30–32); Q2 FY27 earnings call; reviewed results (credit cost ₹15.41 Cr in Q2). Roll rates and cost to collect are not disclosed.

Selective growth: better evidence could guide segments, micro-markets, channels and retention within HomeFirst's risk appetite

Area	What public data shows	Question to explore	Where AI could help
Borrower segments	32% self-employed; LAP 15% of AUM. Higher-ROE peers lend mostly to self-employed borrowers	Which segments earn their spread after servicing and credit cost?	Risk-adjusted contribution by segment
Micro-markets	Madhya Pradesh 9.1% to 11.2% of AUM in a year; Tamil Nadu 12.1% to 10.0%; 62 branches in plan	Where do new branches reach productivity soonest?	District potential and branch ramp-up scoring
Channels	77% of leads from connectors, 11% from builders	Which sources bring loans that perform, at what cost?	Source quality and cost comparison
Retention	Balance transfers out 4.4% annualised; implied run-off 15–18% a year	Who is likely to leave, and what keeps them?	Early balance-transfer signals and retention offers

Exploratory. A shift towards higher-yield borrowers is a question to study with underwriting, servicing cost, credit outcomes and franchise fit, and is left open here.

Source: HomeFirst Q2 FY27 investor presentation (slides 10, 12–13, 27–28); Q2 FY27 earnings call; peer results (outside-in assessment, slides 11–12).

A value tree connects each operating change to cost, growth, credit quality and return on equity, and gives a common basis for measuring and reconciling benefits

Operating change	Operating measure	Financial driver or P&L line	Ratio in the ROE tree
Back-office operations	Manual touches, handling time, exception ageing	Operating expenses (employee cost)	Opex ÷ assets
Frontline and sourcing	First-time-complete files, turnaround, disbursals per RM	Disbursals, AUM growth, operating expenses	Loan interest; opex ÷ assets
Collections	Cure and roll rates, contact success, cost to collect	Credit cost, operating expenses	Credit cost ÷ assets
Selective growth	Segment mix, source quality, retention	Yield, credit cost, run-off	Spread; credit cost ÷ assets

ROA × leverage = ROE

10 bps of average assets is ₹12.5 Cr of PAT a year and about 0.3 point of ROE at today's 3.6x leverage. With agreed baselines, attribution and overlap rules, each initiative reports through the same tree.

Live demo: the same tree on HomeFirst's public figures, with business, operating and board views, scenarios and alerts.

Source: outside-in assessment (slide 6; appendix A2 sensitivity basis); value-tree demo. Existing dashboards cover turnaround, cohort and channel KPIs; reconciled financial attribution is the extension to investigate.

Our proposed discussion order: operating capacity first, followed by collections and frontline productivity; selective growth stays exploratory

Opportunity	Why discuss it	What supports the hypothesis	What HomeFirst would need to confirm
1 Operating capacity: back office	The capacity challenge: about 4,000 staff at constant productivity against 2,014	Employee cost is 67% of opex; DocIQ shows document AI already works at scale	Which workflows carry the most volume and exceptions; headcount by function; roadmap overlap
2 Collections	Protects credit quality as the book grows; builds on Cue	Cue runs soft-collection calls; bounce 15.6–16.6%; credit cost ₹62 Cr a year	Roll rates and cost to collect; what Cue already prioritises; field model
3 Frontline and sourcing	Disbursals per employee flat for three years	Login to sanction about 40%; 87% approved within 48 hours	RM time per file; stage turnaround; connector app roadmap
Explore Selective growth	Return differences across peers and markets	Peer yield and borrower-mix differences; state mix shifts	Segment economics, credit policy and franchise fit

A judgement based on the capacity challenge; it does not rank achievable benefits. Each area could run with Aistra, in-house, or within HomeFirst's own roadmap, and the choice is HomeFirst's.

Source: Aistra view from public disclosures (appendix A1–A3) and the outside-in assessment.

Three questions would decide where to look first; one or two areas could then be scoped in detail

Questions for today

1. Which of these does HomeFirst already address, in production or on the roadmap?
2. Where does growth strain capacity most: which teams and which workflows?
3. Which constraints matter most: data access, model governance, or the capacity to absorb change?

Possible next steps

Scoped assessment of one or two areas
About 4–6 weeks: map the workflow, baseline effort and outcomes, build the benefit case with stated confidence

Value tree on HomeFirst’s data
The demo’s tree rebuilt on internal data, as the base layer for measuring any initiative

HomeFirst proceeds in-house
Use this document as a checklist against the existing roadmap

APPENDIX

Research and initiative detail

A1 Capability map with sources · A2 Workflow map and candidate tasks · A3 Benefit logic and productivity sensitivity · A4 Comparable deployments and peer practices · A5 Value tree base layer and extensions · A6 Research register

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HomeFirst’s disclosed AI and data estate, by tool and status

Tool	Status	What it does	Reported scale
ClariFi	In production	Multi-agent underwriting system: case summary, inconsistencies, reasoning with citations	30,000 loan files; about 87 seconds per full case
BankLens	In production	Banking analyser: income, expenses, money trails, anomalies, AML checks	150,000 statements; 67 seconds on average
DocIQ	In production	Reads and extracts every document type; OCR in five languages	400,000 documents read and extracted
Cue	In production	Voice, WhatsApp and SMS journeys from one customer record	95% of customer calls
ARJUN	Announced	Virtual underwriter, with human sign-off	Phase 3, Oct 2027–Mar 2028
Platform	In production	Cloud, microservices, streaming data lake, API links to bureaus and aggregators	Model governance with validation, drift and fairness checks
Connector app	In production	Lead management for connectors	94.3% of connectors registered

Source: HomeFirst Q2 FY27 investor presentation (slides 13, 15–16; production records to 16 Oct 2026). Status as disclosed. Some usage and coverage measures are disclosed; incremental benefits and comprehensive adoption remain unquantified.

Workflow map from sourcing to collections, with tasks where AI could change effort or outcomes

Stage	Main work	Not disclosed: questions	Candidate AI change
Sourcing	Lead capture, follow-up, file assembly	RM time per file; lead-to-login conversion	Lead ranking; completeness checks
Login and underwriting	Document collection, verification, credit decision	Rework and turnaround by stage	Largely covered by ClariFi, BankLens, DocIQ
Sanction to disbursal	Legal and technical checks, agreements, disbursal	Manual touches; exceptions; tranche handling	Checklist assembly; exception routing
Post-disbursal	Document tracking, custody, insurance and fee processing	Pending-document ageing; effort	Ageing alerts; automated chasing
Servicing	Requests, statements, changes, closures	Request volumes and handling time	Resolution workflow behind Cue
Collections	Reminders, calls, field visits, resolution	Roll rates; field productivity; cost to collect	Prioritisation; field allocation; feedback loop
Finance and support	Reconciliation, close, MIS, HR and admin	Close effort; headcount by function	Matching; lever-level reporting

Source: Aistra mapping from HomeFirst disclosures and standard housing-finance operations; to be validated with HomeFirst's teams.

Benefit logic by initiative: most areas stay unsized until workflow and staffing data are available

Initiative	Eligible activity	Benefit type	Illustrative arithmetic	Overlap and confidence
Back-office operations	Operations and documentation headcount (not disclosed)	Capacity released; hiring avoided; cash saved; service	Not sized: needs workflow and staffing data	Overlaps management's −10 bps opex target
Frontline and sourcing	RM and connector effort per file (not disclosed)	Capacity released; growth	Not sized: needs stage conversion and RM time	Overlaps back office where staff are shared
Collections	Credit cost ₹62 Cr a year; cost to collect not disclosed	Lower credit cost; capacity released	Each 10% lower credit cost is about ₹6 Cr pre-tax, ₹4.8 Cr of PAT	About 12 months of vintages to confirm
Selective growth	Segment, market and channel economics (not disclosed)	Spread and credit cost	Not sized	Depends on credit policy and franchise fit

Company-wide productivity sensitivity: not an estimate of benefits from these initiatives

10–20% higher output per employee would avoid about 330–690 otherwise-required hires by FY30, about ₹45–100 Cr a year at today's average employee cost of ₹14.1 lakh. It assumes the same output with fewer employees; the role mix and avoidable hiring are unknown; average cost is a proxy for the marginal cost of affected roles; future salary changes and implementation costs are excluded; only the portion incremental to management's existing productivity plan could be attributed to a new initiative.

Source: Aistra estimates on HomeFirst Q2 FY27 figures (employee cost ₹71.06 Cr a quarter; 2,014 employees; credit cost ₹15.41 Cr a quarter) and the outside-in assessment's growth scenario. Tax at 23.4%.

Other Indian lenders report similar mechanisms in use; outcomes are management claims with limited transferability

Lender	Deployment	Reported outcome	Transferability to HomeFirst
L&T Finance	ShighraM: mortgage legal-process automation co-pilot	Over 4,000 files processed in 11 vernacular languages; effort saved not quantified	Mechanism close to pre-disbursal legal checks; reported volume, not benefit
Poonawalla Fincorp	ContextIQ: document intelligence with human-in-loop validation	Manual effort and turnaround reported as substantially reduced; not quantified	Same mechanism as the back-office extension; unquantified
Poonawalla Fincorp	AI-led prioritisation, digital-first and automated collections	15% cost saving pre-due; 27% cost efficiency post-due; payment-failure bot recovered 42%	Largely unsecured consumer book; management-reported, baselines undisclosed

Housing-finance peer practices

Peer	Practice and evidence	Relevant area
Aavas	Monthly field-productivity tracking: 1.25 files per officer per month in Q2 FY27	Frontline and sourcing
Aadhar	Stage-gated new branches; productive in 9–15 months	Selective growth
Aptus	Risk-based pricing; ROE tree discussed on calls	Selective growth

Source: L&T Finance Q1 FY27 press release (10 Jul 2026); Poonawalla Fincorp Q1 FY27 earnings call (17 Jul 2026, pp 7–10); Aavas Q2 FY27 call; Aadhar Q1 FY27 call; Aptus Q4 FY26 and Q1 FY27 calls. A deployment elsewhere does not establish an equivalent opportunity at HomeFirst.

The value tree is the base layer; extensions add driver models, external data, planning and documents

Extensions

Driver models
Function-level drivers that feed the tree, for example what drives attrition

External data
Market pricing, rates and other outside variables

Planning
Plans, forecasts and targets beyond what the tree provides

Documents
Board, compliance and tax documents produced from the same numbers

Base layer

Value tree	Track, report and test sensitivities on every lever, from loan interest to ROE
Data readiness	Clean-up and engineering to get source data into shape; effort depends on today’s state

Source: Aistra value-tree approach; the demo shows the base layer on public data.

Research register: each claim with its source, date and remaining uncertainty

Claim	Source	Date	Type	Uncertainty
AI tools in production at scale	S1 slides 15–16	27 Oct 2026	Company disclosure	Some usage and coverage measures are disclosed; incremental benefits and comprehensive adoption remain unquantified
Phase 1–3 AI roadmap	S1 slide 15	27 Oct 2026	Announced plan	Scope of Phase 2 not detailed
Disbursals per employee ₹3.1–3.5 Cr, flat	Calls; S1	Jul–Oct 2026	Management statement and derived	Definition of employee base
Bounce 15.6% Q2; 16.6% October	S1 slide 30	27 Oct 2026	Company disclosure	October attributed to calendar effects
Employee cost ₹71.06 Cr a quarter	Reviewed results	27 Oct 2026	Statutory line	Includes all functions
Peer practices and lender deployments	Peer calls, results, press releases	Jul–Oct 2026	Company disclosure	Management-reported; transferability unproven
FY30 staff need 3,700–4,200	Assessment slide 4	30 Oct 2026	Aistra calculation	Assumes today’s role mix